Kestrel Ridge Outdoor Co.
Annual Report 2024

Record revenue, new risks

Fictional company. Synthetic data generated for a software demonstration.

Letter to Shareholders

Net revenue reached a record $466.7 million, up 18.7% from $393.1 million. Growth came from direct-to-consumer, now 45.9% of revenue, from Asia-Pacific, and from the successful launch of our Ridgeline Trail footwear line.

Gross margin recovered to 53.3% as clearance activity ended and our channel mix shifted toward direct-to-consumer. We opened five stores, for 14 in total.

In June we voluntarily recalled 3,100 units of the Aspen 4P tent after a pole defect was identified. The recall cost approximately $1.2 million, and no injuries were reported.

Dana Whitfield, Chief Executive Officer

Financial Highlights

Net revenue for 2024 was $466.7 million (up 18.7%). Gross margin was 53.3%, and direct-to-consumer sales were 45.9% of net revenue.

Region	2024 revenue	Change
North America	$273.6 million	up 16.5%
Europe	$116.8 million	up 14.1%
Asia-Pacific	$76.3 million	up 36.7%
Total	$466.7 million	up 18.7%

Channel	2024 revenue	Share
Direct-to-Consumer	$214.3 million	45.9%
Wholesale	$252.3 million	54.1%

Product Line Review

Tents & Shelters. Revenue was $120.5 million, up 15.6% from 2023. Tents returned to growth despite the Aspen 4P recall.

Packs & Bags. Revenue was $100.4 million, up 15.5% from 2023. Packs grew on strong direct-to-consumer demand.

Apparel. Revenue was $159.8 million, up 18.2% from 2023. Apparel grew, led by the Asia-Pacific region.

Footwear. Revenue was $85.9 million, up 28.6% from 2023. Ridgeline Trail made footwear our fastest-growing product line.

Risk Factors

Tariffs and trade policy. Proposed US tariffs on goods imported from Southeast Asia, where most of our products are made, could raise costs materially. We estimate that a 10% tariff would reduce gross margin by about 2 percentage points if not offset by price increases.

Supplier concentration. Tanh Loc Manufacturing produced about 31% of units, down from 42% in 2022. We plan to add a factory in Mexico in 2025 to diversify further and reduce tariff exposure.

Product quality and recalls. The Aspen 4P recall showed that quality failures can be costly and damage our brand. We have added independent pre-shipment testing for all tent poles.

Execution of Asia-Pacific growth. Asia-Pacific growth depends on new distribution partners in Japan and South Korea, and on hiring local teams.

Climate and weather. A warmer-than-normal winter reduced demand for insulated apparel in North America. Longer-term climate change may shift our seasonal patterns.

Outlook

For 2025 we expect revenue growth of 8% to 10%, assuming no escalation of US tariffs. Our plans include opening four more stores and starting production in Mexico.

Operating Metrics

Metric	2024
Flagship stores	14
Employees	1,260
Wholesale doors	2,180